

Module - 2 (Topic 013 - 022)

MCQT 201

Financial Management

Topic 013:

Introduction of Financial Environment

• Financial Environment : Where do business operate

- Financial Environment is an environment related to finance that exist in an economy around all the business organization which are part of that economy - whether we talk about a small business or we talk about a large corporation or a company all the business are effected by business environment - In this environment there are different authorities different agencies which are somehow related to each other & these bodies actually affect each other along with the business org. we've gotten certain rules & regulations which are to be complied & method of looking at the way the business needs to be conducted -

• Regulators

• SECP :

- Security Exchange commission of Pakistan plays the key role in controlling business org., companies & corporations
- They draw rules for their registration & operations & perform various other functions
- It is involved in regulating the business organization
- Before this the name of this authority

exchange

Topic 014

Central Bank

- Central Bank is the Bank of banks

• State Bank of Pakistan - SBP

- In Pakistan SBP is the central Bank

- SBP regulates and controls all the banks & even financial institutions

- It has role to play for the overall economy.

- Devaluation / valuation of currency is done by the central Bank

• Bank of Issue:

- CB is called the Bank of Issue that is the bank issues the currency notes

- It controls how & when currency notes to be there in the economy - this is how the state banks supply or control the supply of the money.

• Banker, Agent & Advisor to Government:

- It is the Bank of the government

- The functions that a commercial bank performs for general public is performed by central bank for govt.

• Custodian of Cash reserves:

- The currency notes which are issued by the central bank are also kept in the state bank so it acts as the custodian of these reserves.

- Supervision (Prudential & Regulatory):

- Prudential functions are those functions that how much % of loan a company should have, what should be the debt-to-equity ratio, different ratios for the entity to be financially viable
- Regulatory functions - how you gonna perform the business functions, what is allowed & not
- All this is regulated by SECP

- Investors Awareness & Education:

- SECP is playing the role as the institution promoting awareness it is providing education at different levels it is playing its role as financial inclusion through promotion, seminars, education & creating awareness

- Administration of Professionals (CAs, CMAs, CSs):

- SECP administers the professional in the economy

- Appellate Bench

- ^A Appellate tribunal role in which SECP looks for the grievances & concern in various business & make decisions about them

Topic 016

FBR

- Functions

- Fiscal policy

- The most important role of FBR is its fiscal policy
- fiscal means something related to

an organization - e.g. Income tax

- **Indirect Tax**

- Taxes on expenses & expenditure
e.g. C.S.T. tax, Sales Tax

- **Appellate Tribunal**

- If any org or person they are ~~charge~~ taxed more by any person in the FBR department - So, they can appeal their concerns to appellate tribunal where they'll be heard

Topic 017

PSX (Pakistan Stock Exchange)

- Three stock exchanges ~~FF~~ were merged into one called PSX
- It is the reflection of the economy
- It is the leading indicator of the economy
- First, Stock exchange shows the affect & the economy changes accordingly
- Stock Exchange is simply a place where investors buy or sell securities
- Securities means a financial instrument which may be a share or Bond or certificate something likewise -
- Stock exchange of Pakistan (PSX) is a secondary market
- Both local & foreign investors are part of PSX
- Return earn in the SX is in the form of Capital Gain
- Capital Gain mean that asset through

Topic 018

Banking System (Commercial Banks)

- **Deposits : Checking & Saving Accounts**
 - Checking or Current Account : A type of account where money can be deposited at any time & withdrawal is possible at any time - There is less interest on current account
 - Saving Account is generally opened by those who want to save a portion of their income for future - There is more interest on this account
- **Lending : Short Term & Long-term**
- **Financial Services : Transfer, Payments, Insurance**
 - Transfer of payment to another account, city
 - Payments of Bill, loans, fees etc
 - Insurance for your money
- **Financial Products : CDs, Mortgages, Unsecured financing etc**
 - CDs certificate of deposits on which profit is given
 - Unsecured financing / Clean financing against which loan is provided without any collateral e.g. Credit card
- **Governed by State Bank of Pakistan**
 - all commercial banks are governed

by SBP

Topic 019

DFIs (Development Finance Institution)

- DFIs contribute towards the development part of any economy -
- IMF role is to fill the operational cost difference
- World Bank support the economy development infrastructure and to assist for these projects which aids in the long-term activity development of economy

• Developing & Emerging Economies

- DFIs provide financing to developing/emerging economies
- Pakistan is regarded as emerging economies

• Non-Commercial Basis

- Financing for long term & developing purposes
- DFIs operate at a very high risk as compared to other financial institutions

• High Risk Loans, Equity Positions, Risk Guarantees etc

• Funds for Economic Development

• Types of DFIs

• Multilateral Development Banks

- Those which actually contribute in the development process of whole

which earnings is made by selling it profit is earned e.g. I've got share one way to earn is get dividend & other way is sell it buying at less selling it at higher

- In stock exchange, there are individuals & investors & company investors

- **Listing of companies**

- In stock exchange companies are listed & then these listed registered companies are regulated by SE and make them liable for rules & regulations

- **Trading of Securities**

- SE basic function is trading of securities that is buying & selling through brokers & those people who play an intermediary role b/w buyer & seller

- **Stock Market Indices**

- Indices shows the performance of the stock market
- Indices going up & down shows the general trend in stock market
- Indirectly it shows the fluctuations in the economy

- **Data Portal**

- Data Portal where students, investors can make decisions about their investments, performing research or conducting analysis.

- **Guidance of Investors**

- Guidelines & Booklets available for investor

• Major Forms of NBFCs

- Development Finance Institution
 - DFIs are actually non-banking financing institution
- Insurance Companies
 - They are also NBFCs - Their role is to fill up the loss of the organization due to uncontrollable factor -
- Leasing Companies
 - Asset that is required by the business sold & then lease back and business pays rent on that asset
- Mudaraba Companies
 - A mudaraba is an agreement b/w two persons or two org where one contribute the finances & other contributes with efforts & skills & they share the profit
- Venture capital companies
 - companies providing funds for special business or ventures
- Currency Exchanges
- Microloan providers
- Investment Companies
- House finance companies

Topic 02.1

Islamic Banking

one lac instead I have lented 10 gram gold & I will receive 10 gram after one year

- **Islamic Banking Instruments**

- **Musharika**

- A transaction where two parties invest money & share P&L in a stipulated ratios

- **Modaraba**

- **Ijara**

- Islamic form for leasing

- **Murabaha**

- A asset is bought by Bank (Islamic) and sold to another org keeping markup on it & receive the amount on installments

Topic 022

Foreign Banks

- **What is Foreign Banks?**

- The Banks which are not of the country where they actually operate e.g. Mezan Bank if operate in UK it is foreign Bank for UK

- **Advantages**

- **Efficiency of local banks**

- If foreign banks operate where the economy lacks technology & developments then they def. play role increasing the efficiency of local Banks - As it creates

was "Corporate Law Authority" & later it was converted into SECP

- State Bank of Pakistan - SBP:

- By the name it is bank but it performs more than functions than commercial banks - Because it is a central bank
- Its activities directly or indirectly affect stakeholders of the financial environment

- Federal Bureau of Revenue - FBR:

- The function of FBR mainly includes collection of taxes & related things
- Making policies related to taxes & collection is the role of FBR

- Credit Providers

- Commercial Banks:

- They are there to make profits
- They are lenders & they are the one who accept the deposits of the people

- Investment banks:

- The banks which are involved in making investments in development projects in capital projects - The projects which are of long-term nature where these banks contribute towards the economy & towards profit earnings

- Non-banking Financial Institution:

- They're called non-banking financial institution because of the fact that they're not regulated like commercial bank or investment bank -

- Financial Markets

- key financial market is the stock

competition -

- **Sophisticated Financial Services**

- Foreign banks generally expands globally have got better & more sophisticated financial services & financial instruments they provide are more diverse

- **Support weak local Bank**

- It aids support to the local Banks either in technological shape or financial services/instruments

- **Foreign Investment**

- These banks brings foreign investment important for the growth of the economy

- **Access to international capital markets**

- International capital markets means getting exposure globally

- **Disadvantages**

- **Growth of local Banks**

- Collective monopoly of local bank is affected by foreign Banks
- No. of clients gets affected
- Profits gets affected

- **loss of control**

- Cause they indirectly control the deposits, withdrawals

- An Islamic Bank is a bank which operates according to the rules & regulations of Islam - that is called Shariah

• Shariah Compliance

- All activities of Islamic bank is Shariah compliant. The key element that differentiates Islamic Banks from others is Riba (soul or interest)

- A Riba is a fixed rate of return charged on any commodity which is lent by a person/org which is not a useable commodity but a consumable commodity

• Shariah Board

- Shariah Board determines that whatever transaction, borrowing, lending activities carried on by that bank is Islamic or not

- It is not only for Islamic Banks but for commercial Banks too

- People in Shariah Board are scholars (Ulama)

• Profit & Loss Sharing & Prohibition of Riba

- The crux of Islamic Bank is P&L Sharing - Borrowing & Lending based on P&L sharing not fixed return

• Indexation

- Indexation means whenever borrowing & lending is done it should not be measured with money and that it should be linked with the commodity e.g. I haven't lent you

world e.g. world Bank, Asian development Bank, African Development Bank etc

- Bilateral Development Institutions
 - One institution is for the development of another country/economy
- National Development Institution
 - Institutions nationally supporting the development
- Community Development Institution
 - They operate at smaller level e.g. credit unions, village bank, local Bank
- Microfinance Institution/Banks
 - The role is to bring people out of poverty & to support development the way they become more sustainable in terms of their income

Topic 020

NBFCs (Non-Banking Financial companies)

- They are those that are not regulated like banks but they are involved in financial activities that is borrowing, lending & providing credit
- Non-Banking Finance
 - Commercial Loans
 - These loans are different from

commercial bank loans - They are less regulated loans

- Social & community lending
 - They lend money for social & community benefits, for development of area
- Joint ventures
 - A joint venture is an agreement in which two parties join hands for a particular project - NBFCs are involved in these.
- Partnership
 - NBFCs is also involved in partnership for profit purposes
- Factoring
 - A factor is an org which assumes the job of collecting receivables - NBFCs are also factors
- Equity Financing
 - They provide equity financing from which they'll share the profit
- Crowd funding
 - NBFCs arrange the crowd fundings borrowing funds from different sources and then lending it for the purpose of entrepreneurial ventures, new startups plays prime role for ~~their~~ financing them.
- Government funding
 - NBFCs are also involve in govt funding

finances, money or funds

- A policy related to the generation of funds or finances is the fiscal policy
- fiscal deficit means our revenues are less than the expenditure
- fiscal surplus means revenues more than the expenditure
- FBR plays its role in making country or economy financially viable by making good financial fiscal policy

• Taxation

- How much tax to be charge
- To whom the tax should be charged
- General Rule of Tax: "Every person who's a part of the economy or country & he's taking benefit from the country & he's income is sufficiently good enough he should be paying taxes"
- Tax net: "means all those people that should pay tax should be part of this tax net"

• Government Spending

- where the gov is supposed to make expenditure & how much this is something related to the capacity of the gov.

• Transfer Payments

- Payments which are not made for any profit or ^{made} ~~for~~ against for any service

• Levy & collect Taxes

• Direct Tax

- Tax related to the income of a person or